# Grasim Industries Ltd

Industrials | Diversified Industrials | Latest FY: Mar-24 | ₹ Crore

**GRASIM**

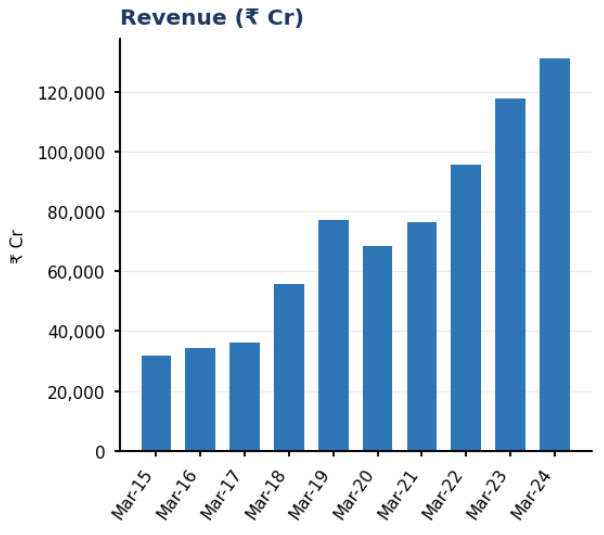


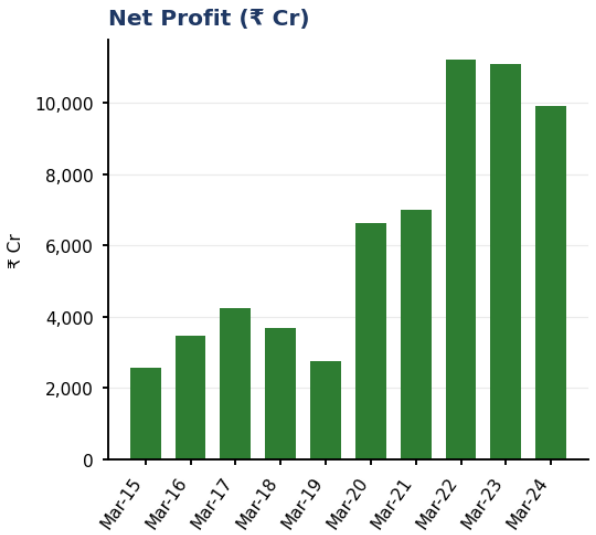
## Key Performance Indicators

| RETURN ON EQUITY | RETURN ON CAPITAL EMPLOYED | OPERATING PROFIT MARGIN |
|---|---|---|
| **11.2%** | **9.8%** | **20.8%** |
| ▼ -2.9 pts vs Mar-23 | ▲ +0.5 pts vs Mar-23 | ▲ +2.4 pts vs Mar-23 |

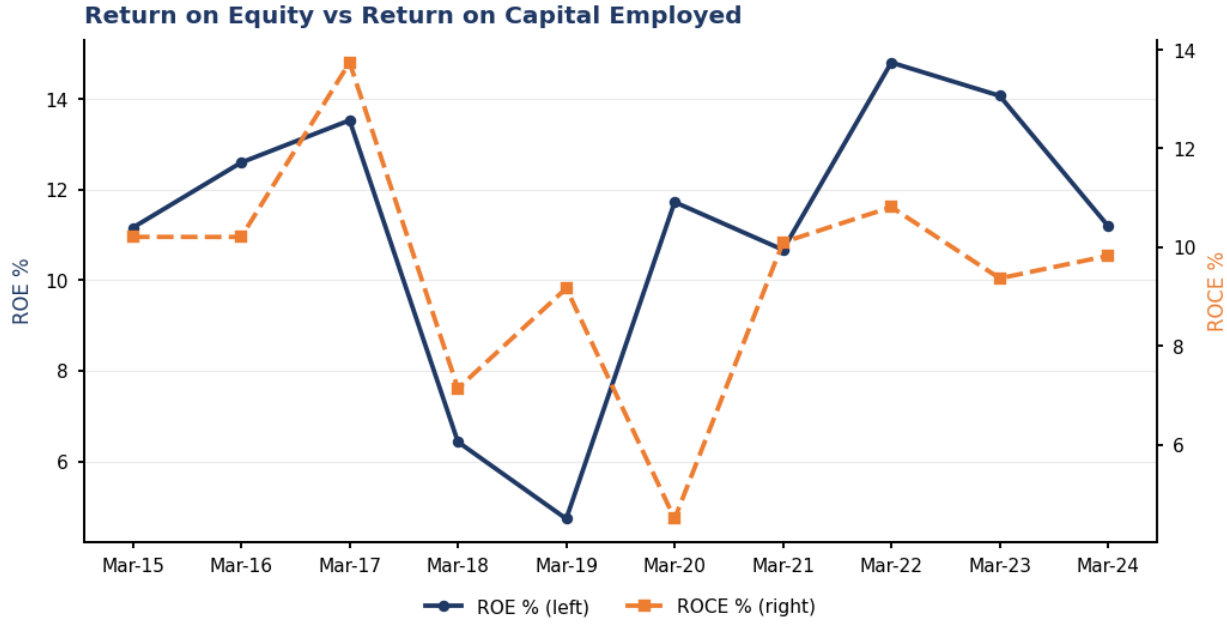
| DEBT / EQUITY | REVENUE CAGR (5Y) | NET PROFIT CAGR (5Y) |
|---|---|---|
| **1.55x** | **11.2%** | **29.3%** |
| ▲ +0.24x vs Mar-23 | compound annual rate | compound annual rate |

## 10-Year Revenue and Net Profit




## Return on Equity and Return on Capital Employed

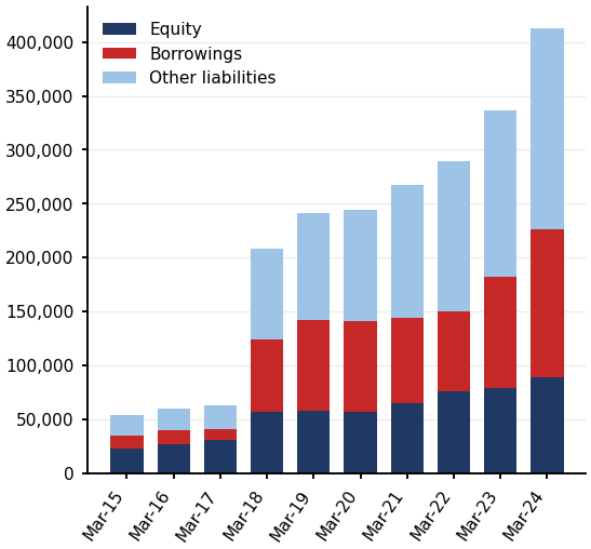




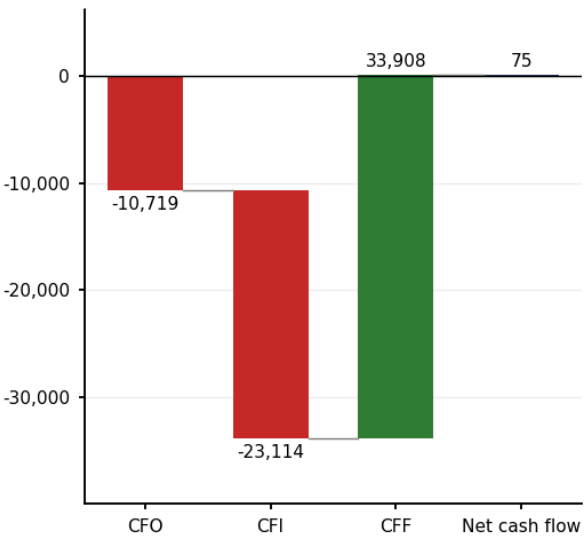

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

## Balance Sheet Composition and Latest-Year Cash Flow

### Balance Sheet Composition (₹ Cr)




### Cash Flow Waterfall – Mar-24 (₹ Cr)




## Capital Allocation

**Distress Signal**

**Pattern history** (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Distress Signal → Mar-24: Distress Signal

## Cash Flow Intelligence

| CFO QUALITY (5Y CFO/PAT) | CAPEX INTENSITY | FCF CONVERSION | FCF CAGR (5Y) | FLAGS |
|---|---|---|---|---|
| **0.61x** | **11.5%** | **-42%** | **n/a** | **2 flags** |
| Moderate | Capital Intensive | FCF / operating profit | Loss-making | Distress signal |

## Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits (95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (90%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (79%)

## Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (66%)



Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.